Note 11. Taxable/Distributable Income

Income and capital gain distributions are determined in accordance with the Code and federal tax regulations, which may differ from amounts determined in accordance with GAAP. The book-to-tax basis differences, which could be material, may be due to differing treatments of income and gains on various investment securities held by the Master Fund and expenses incurred by the Master Fund. Permanent book-to-tax basis differences result in reclassifications to paid-in capital in excess of par value and accumulated distributions in excess of net investment income. Undistributed (distributions in excess of) net investment income, accumulated net realized gains and accumulated net unrealized appreciation on investments, may include temporary book and tax basis differences which will reverse in subsequent periods.

For the years ended December 31, 2022, December 31, 2021 and December 31, 2020, the Master Fund made the following reclassifications of permanent book and tax basis differences:

	For the Years Ended December 31,		
Capital Accounts	**2022**	**2021**	**2020**
Paid in capital in excess of par value	$ (1,395)	$ —	$ —
Undistributed net investment income	(453)	960	(2,650)
Accumulated realized gains (losses)	1,848	(960)	2,650
Total	$ —	$ —	$ —

The following table reconciles net increase in net assets resulting from operations to total taxable income available for distributions for the years ended December 31, 2022, December 31, 2021 and December 31, 2020:

	For the Years Ended December 31,		
	2022	**2021**	**2020**
Net increase (decrease) in net assets resulting from operations	$ (1,053)	$ 21,696	$ 7,444
Net realized losses	178	1,907	2,455
Net change in unrealized (appreciation) depreciation	6,022	(15,654)	3,661
Other book-tax difference	286	52	(186)
Total taxable income and gains available for distributions	$ 5,433	$ 8,001	$ 13,374

The Master Fund did not incur U.S. federal excise tax for the calendar years ended December 31, 2021 and December 31, 2020 and the Master Fund does not expect to incur a U.S. federal excise tax for the calendar year ended December 31, 2022. The tax character of shareholder distributions attributable to the fiscal years ended December 31, 2022, December 31, 2021 and December 31, 2020 was as follows:

	For the Years Ended December 31,		
Distributions Attributable To:	**2022**	**2021**	**2020**
Ordinary income (including short-term capital gains)	$ 5,433	$ 8,698	$ 13,381
Return of Capital Distribution	89,521	49,165	—
Total distributions	$ 94,954	$ 57,863	$ 13,381
Distributions as a percentage of taxable income and gains available for distributions [1]	1,748 %	723 %	100 %

(1) The total distributions declared during the year includes payment of prior year undistributed taxable income and gains.

As of December 31, 2022 and December 31, 2021, the components of tax basis accumulated earnings (loss) were as follows:

	As of December 31,	
	2022	2021
Undistributed capital losses	$ (7,404)	$ (9,138)
Unrealized loss	(9,330)	(2,491)
Other temporary adjustments	(121)	(137)
Total accumulated (loss), net	$ (16,855)	$ (11,766)

Under the current tax law, the Master Fund may carry forward net capital losses indefinitely to use to offset capital gains realized in future years, and their character is retained as either short-term and/or long-term. At December 31, 2022, the Master Fund incurred $(7,396) of long-term capital losses and $(8) of short-term capital losses.